Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 1 of 13 · Question 1 part b · 5 marks

2024 NOV · Paper 02 · extract 1 of 3 · find part b in this mark scheme extract

| Number | | |
|---|---|---|
| 1(a)(i) | **Award marks as indicated.**<br><br>$67 350 **(4)W**<br><br>**W**<br><br>$48 200 **+** $235 000 **(1) –** $850 **(1) –** $215 000 **(1)** = $67 350 **(1)**<br><br>**Alternative presentation** | **(4)** |

| | $ | | $ |
|---|---|---|---|
| Balance b/d | 48 200 | Irrecoverable debt | 850 **(1)** |
| Sales | 235 000 **(1)** | Receipts | 215 000 **(1)** |
| | | Balance c/d | 67 350 |
| | 283 200 | | 283 200 |
| Balance b/d | 67 350 **(1)** | | |

| Question Number | Answer | Mark |
|---|---|---|
| (ii) | **Award marks as indicated.**<br><br>$42 250 **(3) W**<br><br>**W**<br><br>$37 500 + $139 875 **(1) – $**135 125 **(1)** = $42 250 **(1)**<br><br>**Alternative presentation** | **(3)** |

| | $ | | $ |
|---|---|---|---|
| Payments | 135 125 **(1)** | Balance b/d | 37 500 |
| Balance c/d | 42 250 | Purchases | 139 875 **(1)** |
| | 177 375 | | 177 375 |
| | | Balance b/d | 42 250 **(1)** |

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 1 of 13 · Question 1 part b · 5 marks

2024 NOV · Paper 02 · extract 2 of 3 · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| (iii) | **Award marks as indicated.** | (13) |

**Romala**
**Statement of Financial Position at 31 August 2024**

| | $ | $ |
|---|---|---|
| **Assets** | | |
| **Non-current assets** | | |
| Motor vehicles | | 22 500 **(1)** |
| **Current assets** | | |
| Inventory | 32 600 **(1)** | |
| Trade receivables | 67 350 | |
| Other receivables | 950 **(1)** | |
| Cash at bank **W1** | 43 950 **(3)** | |
| | | 144 850 |
| **Total assets** | | 167 350 **(1)** |
| **Equity and liabilities** | | |
| **Equity** | | |
| At 1 September 2023 **W2** | 100 000 **(3)** | |
| Profit for the year | 47 000 **(1)** | |
| Drawings | (21 900) **(1)** | |
| Total equity | | 125 100 |
| **Current liabilities** | | |
| Trade payables | | 42 250 |
| **Total equity and liabilities** | | 167 350 **(1)** |

**Workings**

**W1**
$21 550 + $215 000 **(1)** – $192 600 **(1)** = $43 950 **(1)**

**W2**
$139 250 **(1)** - $39 250 **(1)** = $100 000 **(1)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 1 of 13 · Question 1 part b · 5 marks

2024 NOV · Paper 02 · extract 3 of 3 · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1(b)** | **Award up to 2 marks for a discussion of each concept.**<br>**Award 1 mark for conclusion.**<br><br>**Sample answer**<br><br>By creating a provision for irrecoverable debts Romala will be complying with the prudence concept **(1)** as she will not be overstating either her profit for the year or the value of her trade receivables/current assets **(1)**<br><br>She will also be complying with the matching concept **(1)** as the possible loss of income from irrecoverable debts will be matched with the revenue earned in that period **(1)**<br><br>I would advise Romala to proceed with her proposal in order to have a more accurate set of financial statements **(1)**<br><br>**Accept any other appropriate responses** | **(5)** |

**TOTAL FOR QUESTION 1 = 25 MARKS**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 2 of 13 · Question 18 part e · 3 marks

2023 JUN · Paper 01 · extract 1 of 3 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **18(a)** | **Award marks as indicated.**<br><br>An irrecoverable debt is a specific amount owing to a business which will not be paid. **(1)** A provision for irrecoverable debts is an estimate of the amount which a business may lose due to irrecoverable debts. **(1)**<br><br>**Accept any other appropriate responses** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(b)** | **Award mark as indicated.**<br><br>4% **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)(i)** | **Award mark as indicated.**<br><br>$20 750 **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)(ii)** | **Award mark as indicated.**<br><br>$830 **(1of)** | **(1)** |

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 2 of 13 · Question 18 part e · 3 marks

2023 JUN · Paper 01 · extract 2 of 3 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)(iii)** | **Award marks for correct dates, details and amounts in combination. Award 1 mark for label (Income statement) as indicated.** | **(4)** |

**Provision for Irrecoverable Debts Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 30 April | Balance c/d | 830 | 1 May | Balance b/d | 744 **(1)** |
| | | | 30 April | Income statement **(1)** | 86 **(1)** |
| | | 830 | | | 830 |
| | | | 1 May | Balance b/d | 830 **(1of)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(d)** | **Award marks as indicated.** | **(2)** |

| Account | Non-current assets | Current assets | Non-current liabilities | Current liabilities |
|---|---|---|---|---|
| Provision for depreciation | ✓ **(1)** | | | |
| Provision for irrecoverable debts | | ✓ **(1)** | | |

| Question Number | Answer | Mark |
|---|---|---|
| **18(e)** | **Award 1 mark for identification and up to 2 marks for development.**<br><br>**Sample answer**<br><br>Prudence concept states profits/assets should not be overstated **(1)**<br><br>Creating a provision **profit for the year** will not be overstated **(1)** and **trade receivables/current assets** will not be overstated. **(1)**<br><br>**Accept any other appropriate responses.** | **(3)** |

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 2 of 13 · Question 18 part e · 3 marks

2023 JUN · Paper 01 · extract 3 of 3 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18(f)** | **Award mark as indicated. Max 1 mark.**<br>Cash sales only **(1)**<br>Strict credit control **(1)**<br>**Accept any other appropriate response.** | **(1)** |

**TOTAL FOR QUESTION 18 = 15 MARKS**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 3 of 13 · Question 17 part e · 5 marks

2020 NOV · Paper 01 · extract 1 of 2 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **17 (a)** | **Award marks as indicated.**<br><br>**Account** / **Debit** / **Credit**<br>Trade receivables control — ✓ **(1)**<br>Irrecoverable debts — ✓ **(1)** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **17 (b)** | **Award marks as indicated.**<br><br>Prudence **(1)**<br>Accruals or matching **(1)** | **(2)** |

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 3 of 13 · Question 17 part e · 5 marks

2020 NOV · Paper 01 · extract 2 of 2 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **17 (c)** | **Award marks as indicated.**<br><br>**$**<br>Net trade receivables 42 140 **(1)**<br>X 5%<br>Provision at 29 February 2020 2 107 **(1of)** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **17 (d)** | **Award 1 mark for figures plus 1 mark for correct dates and details.**<br><br>**Provision for Irrecoverable Debts Account** | **(4)** |

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2020 Feb 29 | Balance c/d | 2 107 | 2019 Mar 1 | Balance b/d | 1 845 **(1)** |
| | | | 2020 Feb 29 | Income statement | 262 **(1of)** |
| | | 2 107 | | | 2 107 |
| | | | Mar 1 | Balance b/d | 2 107 **(1of)** |

| Question Number | Answer | Mark |
|---|---|---|
| **17 (e)** | **Award up to 4 marks for comments related to the reasons why it is necessary for a business to create a provision for irrecoverable debts and 1 mark for conclusion.**<br><br>**For example**<br>A business should create a provision because some amounts owing will not be received **(1)**. The effect of this will be to overstate profit for the year and trade receivables in the financial statements **(1).**<br>This enables a business to make informed decisions **(1)** by anticipating possible future losses as soon as they become aware of them **(1).**<br>Overall, the business will benefit from the introduction of this provision **(1).**<br><br>**Accept any other appropriate responses.** | **(5)** |

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 4 of 13 · Question 17 part a · 2 marks

2021 JUN · Paper 01 · extract 1 of 2 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **17(a)** | **Award 1 mark for identification plus 1 mark for development.**<br><br>To take account of the likelihood that some debtors will not be able to pay the amount due **(1),** which ensures compliance with the prudence concept **(1).**<br><br>**Accept any other appropriate responses.** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **17(b)(i)** | **Award mark as indicated.**<br><br>Other payables — <br>Other receivables — ✓ **(1)**<br>Provision — | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **17(b)(ii)** | **Award marks as indicated.**<br><br>Other payables — ✓ **(1)**<br>Other receivables — <br>Provision — | **(1)** |

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 4 of 13 · Question 17 part a · 2 marks

2021 JUN · Paper 01 · extract 2 of 2 · find part a in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **17(c)** | **Award marks as indicated.** | **(3)** |

| | Current assets | Non-current assets | Current liabilities | Non-current liabilities |
|---|---|---|---|---|
| Other payables | | | ✓ **(1)** | |
| Other receivables | ✓ **(1)** | | | |
| Provision for irrecoverable debts | ✓ **(1)** | | | |

| Question Number | Answer | Mark |
|---|---|---|
| **17(d)** | **Award marks as indicated.** | **(8)** |

| Transaction | Source document | Book of original entry |
|---|---|---|
| Paid bank charges | Bank statement **(1)** | Cash book **(1)** |
| Returned damaged goods to a credit supplier | (Purchase) credit note **(1)** | Purchases returns day book **(1)** |
| Purchased a new motor vehicle on credit | Invoice **(1)** | (General) journal **(1)** |
| Payment to a supplier by credit transfer | Remittance advice **(1)** | Cash book **(1)** |

**TOTAL FOR QUESTION 17 = 15 MARKS**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 5 of 13 · Question 10 part whole · 1 mark

2024 JUN · Paper 01 (regional R) · extract 1 of 2 · find part whole in this mark scheme extract

| | | |
|---|---|---|
| **10** | **D When assessing the chances of irrecoverable debts** | **(1)** |

**TOTAL FOR QUESTIONS 1-10 = 10 MARKS**

## Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 5 of 13 · Question 10 part whole · 1 mark

2024 JUN · Paper 01 (regional R) · extract 2 of 2 · find part whole in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 6 of 13 · Question 2 part d.i · 2 marks

2021 JUN · Paper 02 · extract 1 of 5 · find part d.i in this mark scheme extract

**2(a)** **Award marks as indicated.**

**Amira**
**Statement of affairs at 1 April 2020**

| **Assets** | **$** | **$** | **$** |
|---|---|---|---|
| Non-current assets | **Cost** | **Accumulated depreciation** | **Carrying value** |
| Land | 31 670 | - | 31 670 |
| Motor vehicle | 40 000 | 19 520 | 20 480 |
| | 71 670 | 19 520 | 52 150 **(1)** |
| Current assets | | | |
| Inventory | | 21 500 | |
| Trade receivables | | 34 500 | |
| Other receivables | | 1 500 | |
| Cash at bank | | 1 350 | |
| | | | 58 850 |
| **Total assets** | | | 111 000 **(1)** |
| Equity and liabilities | | | |
| Total equity | | | 79 000 **(1of)** |
| Current liabilities | | | |
| Trade payables | | | 32 000 **(1)** |
| **Total equity and liabilities** | | | 111 000 |

**(4)**

**Additional Guidance**

of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 6 of 13 · Question 2 part d.i · 2 marks

2021 JUN · Paper 02 · extract 2 of 5 · find part d.i in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 2(b) | **Award marks as indicated.** | (11) |

**Amira**
**Statement of Affairs at 31 March 2021**

| **Assets** | **$** | **$** | **$** |
|---|---|---|---|
| Non-current assets | **Cost** | **Accumulated depreciation** | **Carrying value** |
| Land | 31 670 | - | 31 670 |
| Motor vehicle | 50 000 | 10 000 **(1)** | 40 000 **(1of)** |
| | 81 670 | 10 000 | 71 670 **(1of)** |
| Current assets | | | |
| Inventory | | 24 000 | |
| Trade receivables | 35 000 **(1)** | | |
| Provision for irrecoverable debts | (1 750) **(1of)** | 33 250 | |
| | | | 57 250 **(1of)** |
| **Total assets** | | | 128 920 |
| Equity and liabilities | | | |
| Total equity | | | 56 270 **(1of)** |
| Non-current liabilities | | | |
| Loan | | | 30 000 **(1)** |
| Current liabilities | | | |
| Loan | | | 10 000 **(1)** |
| Trade payables | | | 31 000 |
| Bank overdraft | | | 1 650 **(1)** |
| | | | 42 650 |
| **Total liabilities** | | | 72 650 |
| **Total equity and liabilities** | | | 128 920 **(1of)** |

**Additional Guidance** of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 6 of 13 · Question 2 part d.i · 2 marks

2021 JUN · Paper 02 · extract 3 of 5 · find part d.i in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(c)</td><td>Award 1 mark for each correct figure plus 1 mark for all correct dates (any format) and details.<br><br>Equity Account
<table>
<tr><th>Date</th><th>Details</th><th>$</th><th>Date</th><th>Details</th><th>$</th></tr>
<tr><td>31 March</td><td>Drawings</td><td>30 000 (1)</td><td>1 April</td><td>Balance b/d</td><td>79 000 (1of)</td></tr>
<tr><td></td><td>Balance c/d</td><td>56 270</td><td>31 March</td><td>Income statement/ profit for the year</td><td>7 270 (1of)</td></tr>
<tr><td></td><td></td><td>86 270</td><td></td><td></td><td>86 270</td></tr>
<tr><td></td><td></td><td></td><td>1 April</td><td>Balance b/d</td><td>56 270 (1of)</td></tr>
</table></td><td>(5)</td></tr>
<tr><td colspan="3">Additional Guidance<br><br>of = own figure. Accuracy mark can be awarded where the candidate's answer does not match the mark scheme, though is accurate based on the correct method.<br><br>Accept split figures for drawings.</td></tr>
</table>

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 6 of 13 · Question 2 part d.i · 2 marks

2021 JUN · Paper 02 · extract 4 of 5 · find part d.i in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2(d)(i)** | **Award 1 mark for identifying the concept plus 1 mark for development.**<br><br>**Sample answers**<br><br>**Prudence (1)**<br><br>Introducing a provision for irrecoverable debts, ensures that her profit for the year/trade receivable are not overstated **(1)**.<br><br>**OR**<br><br>**Accruals/matching (1)**<br><br>Introducing a provision for irrecoverable debts, ensures that the amount of sales which are unlikely to be paid are regarded as an expense in a year of sale **(1)**. | **(2)** |

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 6 of 13 · Question 2 part d.i · 2 marks

2021 JUN · Paper 02 · extract 5 of 5 · find part d.i in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2(d)(ii)** | **Award 1 mark for identifying the concept plus up to 2 marks for development.**<br><br>**Sample answers**<br><br>**Accruals/matching (1)**<br><br>This method is used for motor vehicle that have lower maintenance cost / greater benefits achieved in the earlier years **(1)** which ensures that the revenue of the accounting period is matched against the cost of the same period **(1)**.<br><br>**OR**<br><br>**Consistency (1)**<br><br>Once a method has been selected it must be used consistently from one accounting period to the next **(1)** to ensure comparability of financial results **(1)**. | **(3)** |

**(Total for Question 2 = 25 marks)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 7 of 13 · Question 2 part c.i · 3 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 3 · find part c.i in this mark scheme extract

**2(a)**

**Award marks as indicated.**

**Ali**

**Income statement for the year ended 30 April 2022**

| | | $ | $ |
|---|---|---|---|
| Income | | | 72 160 **(1)** |
| Wages | | 15 710 **(1)** | |
| Fuel | **W1** | 8 310 **(2)** | |
| Insurance | | 550 **(1)** | |
| Depreciation | | 6 000 **(1)** | |
| Office rent and rates | **W2** | 7 200 **(2)** | |
| Irrecoverable debts | | 70 **(1)** | |
| Provision for irrecoverable debts | | 20 **(1)** | |
| Bank interest | | 40 **(1)** | 37 900 |
| Profit for the year | | | 34 260 **(1of)** |

**W1** $8 310 **(2)**

$8 140 + ($480 - $310) **(1)** = $8 310 **(1of)**

**W2** $7 200 **(2)**

$7 800 + ($600 - $1 200) **(1)** = $7 200 **(1of)**

**(12)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 7 of 13 · Question 2 part c.i · 3 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 3 · find part c.i in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 2(b) | **Award marks as indicated.** | **(8)** |

**Ali**
**Statement of financial position at 30 April 2022**

| **Assets** | **$** | **$** | **$** |
|---|---|---|---|
| **Non-current assets** | **Cost** | **Accumulated depreciation** | **Carrying value** |
| Motor vehicle | 34 000 | 18 000 | 16 000 **(1of)** |
| **Current assets** | | | |
| Trade receivables | 3 200 | | |
| Provision for irrecoverable debts | (160) | 3 040 **(1of)** | |
| Other receivables | | 1 310 | 4 350 **(1of)** |
| Total assets | | | 20 350 |
| **Equity and liabilities** | | | |
| **Equity** | | | |
| Opening equity | | 17 100 **(1)** | |
| Profit for the year | | 34 260 | |
| Drawings | | (35 350) | |
| Total equity | | | 16 010 **(1of)** |
| **Non-current liabilities** | | | |
| Bank loan | | | 1 800 **(1)** |
| **Current liabilities** | | | |
| Other payables | | 480 | |
| Bank overdraft | | 2 060 | |
| | | | 2 540 **(1)** |
| Total liabilities | | | 4 340 |
| Total equity and liabilities | | | 20 350 **(1of fb)** |

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 7 of 13 · Question 2 part c.i · 3 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 3 · find part c.i in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 2(c)(i) | **Award 1 mark for explaining the concept plus marks as indicated for development.**<br><br>**Sample answer**<br><br>Prudence concept states that profits and assets should not be overstated and losses and liabilities should not be understated**(1)**.<br><br>Writing off an irrecoverable debt ensures that the net profit/profit for the year is not overstated **(1)** and trade receivables are not overstated **(1)**.<br><br>**Accept any other appropriate responses.** | **(3)** |

| Question number | Answer | Mark |
|---|---|---|
| 2(c)(ii) | **Award 1 mark for explaining the concept plus 1 mark as indicated for development.**<br><br>**Sample answer**<br><br>Accruals concept states that revenue of the accounting period should be matched against the costs of the same period whether paid or not **(1)**.<br><br>Providing for depreciation ensures that the costs of the motor vehicle are matched with the income/benefits earned during the same period **(1).**<br><br>**Accept any other appropriate responses.** | **(2)** |

**(Total for Question 2 = 25 marks)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 8 of 13 · Question 1 part c.i · 3 marks

2022 JUN · Paper 02 · extract 1 of 3 · find part c.i in this mark scheme extract

**1(a)**

**Award marks as indicat**

| Sajjan<br>Income statement for the year ended 30 April 2022 | | |
|---|---|---|
| | **$** | **$** |
| Revenue / Sales<br>165 200 **(1) or** 216 900 **(2)** | | 216 900<br>**(2)** |
| Cost of sales | | |
| Purchases<br>104 200 **(1) or** 146 700 **(2)** | 146 700<br>**(2)** | |
| Closing inventory | (36 000) | |
| | | (110 700) |
| **Gross profit** | | 106 200<br>**(1of)** |
| Expenses | | |
| Office expenses | 18 975 | |
| Motor expenses | 5 000 | |
| Rent and rates | 13 200<br>**(1)** | |
| Wages and salaries | 31 000<br>**(1)** | |
| Provision for irrecoverable debts | 2 585<br>**(1)** | |
| Depreciation - motor vehicle | 2 000<br>**(1)** | |
| | | (72 760) |
| **Profit for the year** | | 33 440<br>**(1)** |

**(10)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 8 of 13 · Question 1 part c.i · 3 marks

2022 JUN · Paper 02 · extract 2 of 3 · find part c.i in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 1(b) | **Award marks as indicated.** | **(10)** |

**Sajjan**
**Statement of financial position at 30 April 2022**

| **Assets** | **$** | **$** |
|---|---|---|
| **Non-current assets** | | |
| Motor vehicle | | 38 000 **(1)** |
| **Current assets** | | |
| Inventory | | 36 000 |
| Trade receivables | 51 700 | |
| Provision for irrecoverable debts | 2 585 | |
| | | 49 115 **(1)** |
| Other receivables | | 1 400 |
| | | 86 515 **(1)** |
| **Total assets** | | 124 515 **(1of)** |
| **Equity and liabilities** | | |
| **Equity** | | |
| Capital introduced | 75 000 | |
| Profit for the year | 33 440 **(1of)** | |
| Drawings | (31 750) **(1)** | |
| **Total equity** | | 76 690 **(1of)** |
| **Current liabilities** | | |
| Trade payables | | 42 500 |
| Other payables | | 2 100 |
| Bank overdraft | | 3 225 **(1)** |
| | | 47 825 **(1)** |
| **Total equity and liabilities** | | 124 515 **(1of)** |

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 8 of 13 · Question 1 part c.i · 3 marks

2022 JUN · Paper 02 · extract 3 of 3 · find part c.i in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 1(c)(i) | **Award 1 mark for explaining the concept plus marks as indicated for development.**<br><br>**Sample answer**<br><br>Prudence concept states that profits and assets should not be overstated and losses and liabilities should not be understated**(1)**.<br><br>Maintaining a provision for irrecoverable debts ensures that the profit for the year is not overstated **(1)** and trade receivables are not overstated **(1)**. | **(3)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(c)(ii) | **Award 1 mark for explaining the concept plus marks as indicated for development.**<br><br>**Sample answer**<br><br>Accruals concept states that revenue of the accounting period should be matched against the costs of the same period whether paid or not **(1)**.<br><br>Maintaining a provision for irrecoverable debts ensures that the amount of sales which are unlikely to be paid are regarded as an expense in the year of sale **(1).** | **(2)** |

**(Total for Question 1 = 25 marks)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 9 of 13 · Question 1 part c.ii · 2 marks

2022 JUN · Paper 02 · extract 1 of 3 · find part c.ii in this mark scheme extract

**1(a)**

**Award marks as indicat**

| Sajjan<br>Income statement for the year ended 30 April 2022 | | |
|---|---|---|
| | **$** | **$** |
| Revenue / Sales<br>165 200 **(1) or** 216 900 **(2)** | | 216 900<br>**(2)** |
| Cost of sales | | |
| Purchases<br>104 200 **(1) or** 146 700 **(2)** | 146 700<br>**(2)** | |
| Closing inventory | (36 000) | |
| | | (110 700) |
| **Gross profit** | | 106 200<br>**(1of)** |
| Expenses | | |
| Office expenses | 18 975 | |
| Motor expenses | 5 000 | |
| Rent and rates | 13 200<br>**(1)** | |
| Wages and salaries | 31 000<br>**(1)** | |
| Provision for irrecoverable debts | 2 585<br>**(1)** | |
| Depreciation - motor vehicle | 2 000<br>**(1)** | |
| | | (72 760) |
| **Profit for the year** | | 33 440<br>**(1)** |

**(10)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 9 of 13 · Question 1 part c.ii · 2 marks

2022 JUN · Paper 02 · extract 2 of 3 · find part c.ii in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 1(b) | **Award marks as indicated.** | **(10)** |

**Sajjan**
**Statement of financial position at 30 April 2022**

| **Assets** | **$** | **$** |
|---|---|---|
| **Non-current assets** | | |
| Motor vehicle | | 38 000 **(1)** |
| **Current assets** | | |
| Inventory | | 36 000 |
| Trade receivables | 51 700 | |
| Provision for irrecoverable debts | 2 585 | |
| | | 49 115 **(1)** |
| Other receivables | | 1 400 |
| | | 86 515 **(1)** |
| **Total assets** | | 124 515 **(1of)** |
| **Equity and liabilities** | | |
| **Equity** | | |
| Capital introduced | 75 000 | |
| Profit for the year | 33 440 **(1of)** | |
| Drawings | (31 750) **(1)** | |
| **Total equity** | | 76 690 **(1of)** |
| **Current liabilities** | | |
| Trade payables | | 42 500 |
| Other payables | | 2 100 |
| Bank overdraft | | 3 225 **(1)** |
| | | 47 825 **(1)** |
| **Total equity and liabilities** | | 124 515 **(1of)** |

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 9 of 13 · Question 1 part c.ii · 2 marks

2022 JUN · Paper 02 · extract 3 of 3 · find part c.ii in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 1(c)(i) | **Award 1 mark for explaining the concept plus marks as indicated for development.**<br><br>**Sample answer**<br><br>Prudence concept states that profits and assets should not be overstated and losses and liabilities should not be understated**(1)**.<br><br>Maintaining a provision for irrecoverable debts ensures that the profit for the year is not overstated **(1)** and trade receivables are not overstated **(1)**. | **(3)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(c)(ii) | **Award 1 mark for explaining the concept plus marks as indicated for development.**<br><br>**Sample answer**<br><br>Accruals concept states that revenue of the accounting period should be matched against the costs of the same period whether paid or not **(1)**.<br><br>Maintaining a provision for irrecoverable debts ensures that the amount of sales which are unlikely to be paid are regarded as an expense in the year of sale **(1).** | **(2)** |

**(Total for Question 1 = 25 marks)**

| Number | | |
|---|---|---|
| **2(a) (i)** | **Award 1 mark for an explanation of the prudence concept and up to 2 marks for valid development.**<br><br>The prudence concept states that profits and assets should not be overstated **(1).** Creating a provision for irrecoverable debts recognises that not all debts will be recovered **(1)** therefore the true value of trade receivables will be shown in the financial statements **(1)** | **(3)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2(a) (ii)** | **Award 1 mark for an explanation of the business entity concept and 1 mark for valid development.**<br><br>**Sample Answer**<br><br>The business entity concept states that the business is treated as being completely separate from the owner of the business **(1)** therefore the business books of account should only reflect the transactions of the business and not the owner's personal expenditure **(1).**<br><br>**Accept any other appropriate responses.** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **2(b)** | **Award marks as indicated**<br><br>$36 784 **(5) W**<br><br>**Working** | **(5)** |

| | $ | |
|---|---|---|
| Draft profit for the year | 37 800 | |
| Rental income in advance | (650) | **(1)** |
| Goods for own use | 280 | **(1)** |
| Depreciation understated | (400) | **(1)** |
| Provision for irrecoverable debts | (246) | **(1)** |
| Revised profit for the year | 36 784 | **(1)** |

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 10 of 13 · Question 2 part a.i · 3 marks

2025 JUN · Paper 02 · extract 2 of 3 · find part a.i in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 2(c) | **Award marks as indicated.** | **(10)** |

**Ruhi**
**Statement of financial position at 31 March 2025**

| **Assets** | **$** | **$** | |
|---|---|---|---|
| **Non-current assets** | | 21 420 | **(1)** |
| **Current assets** | | | |
| Inventory | 14 650 | | |
| Trade receivables | 12 054 | | **(1)** |
| Other receivables | 330 | | |
| | | 27 034 | |
| **Total assets** | | 48 454 | **(1of)** |
| **Equity and liabilities** | | | |
| **Equity** | | | |
| Opening equity | 23 900 | | |
| Profit for the year | 36 784 | | **(1of)** |
| Drawings | (32 580) | | **(1)** |
| **Total equity** | | 28 104 | **(1of)** |
| **Non-current liabilities** | | | |
| Bank loan | | 9 500 | **(1)** |
| **Current liabilities** | | | |
| Trade payables | 8 660 | | |
| Other payables | 2 030 | | **(1)** |
| Bank overdraft | 160 | | |
| | | 10 850 | |
| **Total liabilities** | | 20 350 | **(1of)** |
| **Total equity and liabilities** | | 48 454 | **(1of)** |

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 10 of 13 · Question 2 part a.i · 3 marks

2025 JUN · Paper 02 · extract 3 of 3 · find part a.i in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **2(d)** | **Award up to 4 marks for assessment of the ratios. Award 1 mark for a conclusion.**<br><br>**Sample Answer**<br><br>While the gross profit percentage has not changed over the three years the profit for the year as a percentage of revenue has worsened **(1)**, which indicates that the business needs to improve the control of expenses **(1)**.<br><br>The return on capital employed has improved over the same period **(1)** indicating that the business is making better use of the capital invested in the business **(1).**<br><br>Overall profitability has deteriorated/improved over the three years **(1)**<br><br>**Accept any other appropriate responses.** | **(5)** |

**(Total for Question 2 = 25 marks)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 11 of 13 · Question 13 part b · 2 marks

2022 JUN · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

| | | |
|---|---|---|
| **13 (a)** | **Award mark as indicated.**<br><br>Prudence / accruals / matching **(1).** | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| **13 (b)** | **Award marks as indicated.**<br><br>An irrecoverable debt is an amount owing to a business that will not be paid by a credit customer **(1)** whereas a provision for irrecoverable debts is an estimate of the amount which a business will lose in a financial year due to irrecoverable debts **(1).**<br><br>**Accept any other appropriate responses.** | **(2)** |

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 11 of 13 · Question 13 part b · 2 marks

2022 JUN · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>13 (c)</td><td>Award marks as indicated.
<table>
<tr><th rowspan="2"></th><th colspan="2">Income statement</th><th colspan="2">Statement of financial position</th></tr>
<tr><th>Income</th><th>Expenses</th><th>Current assets</th><th>Current liabilities</th></tr>
<tr><td>Decrease in provision for irrecoverable debts</td><td>✓ (1)</td><td></td><td></td><td></td></tr>
<tr><td>Balance of provision for irrecoverable debts account</td><td></td><td></td><td>✓ (1)</td><td></td></tr>
</table></td><td>(2)</td></tr>
</table>

**TOTAL FOR QUESTION 13 = 5 MARKS**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 12 of 13 · Question 18 part a · 2 marks

2023 JUN · Paper 01 · extract 1 of 3 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **18(a)** | **Award marks as indicated.**<br><br>An irrecoverable debt is a specific amount owing to a business which will not be paid. **(1)** A provision for irrecoverable debts is an estimate of the amount which a business may lose due to irrecoverable debts. **(1)**<br><br>**Accept any other appropriate responses** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(b)** | **Award mark as indicated.**<br><br>4% **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)(i)** | **Award mark as indicated.**<br><br>$20 750 **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)(ii)** | **Award mark as indicated.**<br><br>$830 **(1of)** | **(1)** |

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 12 of 13 · Question 18 part a · 2 marks

2023 JUN · Paper 01 · extract 2 of 3 · find part a in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)(iii)** | **Award marks for correct dates, details and amounts in combination. Award 1 mark for label (Income statement) as indicated.** | **(4)** |

**Provision for Irrecoverable Debts Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 30 April | Balance c/d | 830 | 1 May | Balance b/d | 744 **(1)** |
| | | | 30 April | Income statement **(1)** | 86 **(1)** |
| | | 830 | | | 830 |
| | | | 1 May | Balance b/d | 830 **(1of)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(d)** | **Award marks as indicated.** | **(2)** |

| Account | Non-current assets | Current assets | Non-current liabilities | Current liabilities |
|---|---|---|---|---|
| Provision for depreciation | ✓ **(1)** | | | |
| Provision for irrecoverable debts | | ✓ **(1)** | | |

| Question Number | Answer | Mark |
|---|---|---|
| **18(e)** | **Award 1 mark for identification and up to 2 marks for development.**<br><br>**Sample answer**<br><br>Prudence concept states profits/assets should not be overstated **(1)**<br><br>Creating a provision **profit for the year** will not be overstated **(1)** and **trade receivables/current assets** will not be overstated. **(1)**<br><br>**Accept any other appropriate responses.** | **(3)** |

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 12 of 13 · Question 18 part a · 2 marks

2023 JUN · Paper 01 · extract 3 of 3 · find part a in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18(f)** | **Award mark as indicated. Max 1 mark.**<br>Cash sales only **(1)**<br>Strict credit control **(1)**<br>**Accept any other appropriate response.** | **(1)** |

**TOTAL FOR QUESTION 18 = 15 MARKS**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 13 of 13 · Question 17 part b · 5 marks

2025 JUN · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

**17(a)**

**Award marks for correct figures as indicated.**
**Award one mark for all correct dates and details.**

**Trade Payables Control Account**

| Date 2025 | Details | $ | Date 2025 | Details | $ |
|---|---|---|---|---|---|
| Mar 31 | Cash book / Discount received | 945 **(1)** | Mar 1 | Balance b/d | 26 330 **(1)** |
| | Cash book | 35 780 **(1)** | 31 | Cash book | 160 **(1)** |
| | Journal / Contra/ Set off | 340 **(1)** | | Purchases day book | 34 570 **(1)** |
| | Purchase returns (Returns outwards) day book | 1 227 **(1)** | | Balance c/d | 220 |
| | Balance c/d | 22 988 | | | |
| | | 61 280 | | | 61 280 |
| Apr 1 | Balance b/d | 220 **(1)** | Apr 1 | Balance b/d | 22 988 **(1)** |

**(10)**

Type MS · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Answer 13 of 13 · Question 17 part b · 5 marks

2025 JUN · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **17(b)** | **Award one mark for identification and one mark for development of each alternative up to a maximum of four marks and one mark for a conclusion.**<br><br>**Sample answer Option 1**<br>An irrecoverable debt is an amount where there is certainty that the amount will not be paid **(1)** Writing off an irrecoverable debt will result in not overstating the profit for the year **(1)** and not overstating the trade receivables **(1)** thus complying with the prudence concept **(1).**<br>Archie should choose option 1 in order to prepare accurate and fair financial statements **(1)**<br><br>**Sample answer Option 2**<br>A provision for irrecoverable debts is most appropriate where there is a degree of uncertainty whether or not the debt will be paid **(1)** Making a provision for irrecoverable debt will result in not overstating the profit for the year **(1)** and not overstating the trade receivables **(1)** thus complying with the prudence concept **(1).**<br>Archie should choose option 2 in order to prepare accurate and fair financial statements **(1)**<br><br>**Accept any other appropriate responses.** | **(5)** |

**TOTAL FOR QUESTION 17 = 15 MARKS**